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Points to remember

- Business transactions are entered in the subsidiary books before they are posted to the ledger.
- Sales book is meant for recording sales of goods on credit.
- Sales book is prepared with the help of invoices sent to the customers.
- Sales returns book is prepared based on the credit notes issued to the customers.
- Purchases book is meant for recording purchases of goods on credit.
- Purchases returns book is prepared based on the credit notes received from the suppliers.
- At the end of each month, totals of the sales, purchases, and returns b are transferred to the sales, purchases, and returns accounts respectively.

Self-examination questions



I Multiple choice questions

Choose the correct answer

1. Purchases book is used to record

   (a) all purchases of goods
   (b) all credit purchases of assets
   (c) all credit purchases of goods
   (d) all purchases of assets

2. A periodic total of the purchases book is posted to the

   (a) debit side of the purchases account
   (b) debit side of the sales account
   (c) credit side of the purchases account
   (d) credit side of the sales account

3. Sales book is used to record

   (a) all sales of goods
   (b) all credit sales of assets
   (c) all credit sales of goods
   (d) all sales of assets and goods

4. The total of the sales book is posted periodically to the credit of

   (a) Sales account
   (b) Cash account
   (c) Purchases account
   (d) Journal proper

5. Purchase returns book is used to record

   (a) returns of goods to the supplier for which cash is not received immediately
   (b) returns of assets to the supplier for which cash is not received immediately
   (c) returns of assets to the supplier for which cash is received immediately
   (d) None of the above